

world. As I'd entered the room, Berkshire Hathaway apparently had violated its parameters.

"Probably nothing," said Mr. Thompson. "Maybe some bit of news. It'll be checked on our pass-fail system and on the teletype. Usually it's a false alarm."

NASDAQ had twelve people working full time to research these occurrences, and the first thing they looked for was some obvious explanation, like an important public announcement. When there was an important public announcement, such as the signing of a government contract, a stock was expected to move higher on a heavy volume of buying and selling. But if a stock moved erratically on its own, or worse, if it jumped higher on heavy volume before a public announcement, there was reason to suspect hanky-panky. By calling the market makers, investigators could find out who has been trading the biggest blocks of the stock. These inquiries worked their way back through the market makers to the brokers, and then to the individual investors, who might be called upon to explain their perfect timing.

Mr. Thompson said it didn't take long to learn exactly why a stock had broken its parameters, and also who had been responsible. The compliance office was always on the lookout for end-of-the-day upticks and other telltale signs of price manipulation.

After gathering all the facts, the NASDAQ people sent the most suspicious cases to the SEC for further investigation and possible prosecution. Mr. Thompson told me the SEC had already pressed ahead with 100 NASDAQ cases thus far that year. From what I'd seen of the compliance room, it was hard to imagine how anybody could get away with anything, and I was half relieved that Angstrom had never gotten its big government contract, and that recently there'd been no upticks to sound the alarms and rouse the SEC police into action.